

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DOH

Date: 5/15/2026

Bill Number: CSHB96(L&C)AM

Short Title (as it appears on BASIS): HOME CARE EMPLOYMENT STANDARDS ADV BOARD

What action do you recommend the Governor take?

Select one.

☐ SIGN ☒ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

Since the bill was introduced, the federal requirements this bill was meant to address are no longer in effect making this bill administratively burdensome and anti-business.

The Department of Health has heard from the federal government that these two requirements are set to be removed as federal requirements. This means that the activities required by the Department of Health in HB 96 will not satisfy any federal requirements but will create additional administrative burden and expense for the Department of Health, and would potentially cause hardships for provider agencies resulting in adverse effects for personal care services recipients. These concerns offset the potential benefits of the bill, primarily to enhance worker pay.

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What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

This bill establishes a board to investigate and report on the wages, workforce, and working conditions for chore services, hourly respite services, personal care services, and habilitation services.

The proposed bill would require the board to meet at least three times annually and produce a biennial report of their findings and recommendations to the commissioner of the department of health. The department will take the recommendations of the board into consideration when setting rates for covered services. If the rate set by the department differs significantly from the recommendation of the board, the commissioner will notify the board and the chair of each legislative committee having jurisdiction of health and social services in writing.

The bill requires that the biennial report be published on the department's website. The bill also requires that an annual report be published on the department's website containing information about the mean and median wages for chore services, hourly respite services, personal care services, and habilitation services by agency.

The bill also establishes that, by July 1, 2027, agencies providing personal care services must spend at least 70% of their total annual funding they receive from the department for personal care services; and that by July 1, 2030 this percentage increase to 80%. The bill provides a hardship exemption to provide agencies a longer time period to comply under certain circumstances.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1: AS 44.29 Department of Health is amended by adding new sections:

- Article 10: Home Care Employment Standards Advisory Board
 - Sec. 44. 29.900 Home Care Employment Standards Advisory Board
 - Establishes the board
 - Sec. 44.29.905 Composition of the board
 - Describes composition of the board, comprised of 10 members appointed by the commissioner of health. and the commissioner of labor and workforce development. Six of the members are voting members and four are non-voting members.
 - Commissioner of health or their designee, non-voting member
 - Commissioner of labor and workforce development or their

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- designee, non-voting member
- Two voting members who represent covered providers including at least one agency that provided at least 700,000 units of personal care services during the previous calendar year and one agency that provides habilitation services.
- Two voting members who represent direct care workers
 - One must represent at least 300 direct care workers
- One voting member who receives covered services or a representative of someone who receives covered services
- One voting member from the office that is responsible for rate review
- One non-voting member who represents the Alaska Commission on Aging
- One non-voting member who represents the Governor's Council on Disabilities and Special Education
- Sec. 44.29.910 Term of office, vacancies, removal
 - Describes term limits and requirements around filling vacancies on the board.
- Sec. 44.915 Meetings
 - Describes meetings at least three times a year, at the call of the chair of the board. The board must provide time for public testimony at each meeting.
 - Meetings may be held by teleconference or other electronic means.
- Sec. 44.29.920 Quorum
 - A majority of voting member constitutes a quorum (at least four out of the six voting members).
- Sec. 44.29.925 Compensation
 - Board members are not compensated for services on the board but they are entitled to per diem and travel expenses authorized for boards and commissions under AS 39.20.180.
- Sec. 44.29.930 Powers and duties of the board
 - Advise and consult with the department on the payment rates for covered services and payment rate adequacy and compliance with federal requirements regarding reporting payment adequacy data
 - Investigate matters related to wages, working conditions, and workforce for covered services
 - Matters include: adequacy of compensation and benefits, recruitment and retention of the workforce, service levels and reduction of services as they pertain to wages and working conditions, training requirements achieving a living wage, effect of workforce shortages as it relates to family and friends of service recipients who provide unpaid care, wait times and the percentage of authorized services for covered services, and compliance with reporting to the federal government, the economic impact of achieving a living wage for direct care workers, reducing unpaid care, and the effect of the state's long-term care system on wages and working conditions.

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- State agencies that receive a reasonable request for data, information, or testimony from the board shall comply with the request and if requested, the head of the agency will attend the meeting and provide testimony.
- The department must provide access to current and proposed payment rates, payment adequacy reporting information for covered services that is also provided to the federal government as required by law, and access to metrics created by the state.
- Sec. 44.29.935 Biennial report
 - The biennial report will be submitted digitally to the commissioner of health, legislative committees having jurisdiction over health and social services, and the chief clerks of the legislature. The report will be made available on the department's website.
 - The report prepared by the board must include recommendations regarding:
 - adequacy of rates and service levels of covered services
 - safe and healthy working conditions
 - reducing barriers to recruiting for and retaining workers
 - sufficiency of covered services payment adequacy data and access to care metrics
 - The department will take the recommendations of the board into consideration when setting rates for covered services. If the rate set by the department differs significantly from the recommendation of the board, the commissioner will notify the board and the chair of each legislative committee having jurisdiction of health and social services in writing.
- Sec. 44.29.940 Publication of reports
 - The report will be published on the department's website on July 1 of each year.
 - The department will also publish an annual report containing the weighted average and median hourly wages, by agency, for workers providing covered services.
- Sec. 44.29.945 Definitions
 - Defines board, commissioner, covered provider, covered services, department, direct care worker, habilitation services, personal care services, hourly respite services, personal care services agency, personal care assistant, personal care services.

Section 2: AS 47.07.045 is amended by adding new subsections:

- Requirements for compensation for employees who provide personal care services
 - Beginning July 1, 2027, agencies provide home and community-based services will pay at least 70% of the annual funding they receive for personal care services as compensation and benefits for employees who perform personal care services.
 - Beginning July 1, 2030, agencies provide home and community-based services will pay at least 80% of the annual funding they receive for personal care services as compensation and benefits for employees who perform personal care services.
- Hardship allowance by department

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- The department may grant a hardship exemption from the requirements for compensation for employees if they are facing extraordinary circumstances or if they are a small provider. The department is tasked with adopting regulations that establish the procedures and criteria for an exemption.
- Beginning July 1, 2027, an agency with a hardship exemption will pay at least 60% of the annual funding they receive for personal care services as compensation and benefits for employees who perform personal care services.
- Beginning July 1, 2036, an agency with a hardship exemption will pay at least 80% of the annual funding they receive for personal care services as compensation and benefits for employees who perform personal care services.
- The amount paid to employees who provide personal care services cannot include costs for protective equipment, required training, and travel costs such as mileage reimbursement or public transportation.

Section 3: The uncodified law of Alaska of the State of Alaska is amended by adding a new section:

- Appointments, first meeting, and preliminary report
 - The first meeting must take place before 10/1/2027
 - The commissioner of health must appoint all board members before the first meeting
 - The commissioner of health and the commissioner of labor and workforce development must conduct a preliminary investigation into the wages, working conditions, and adequacy of the Medicaid workforce providing personal care services, hourly respite, and chore services. The preliminary report will be presented to the board at the first meeting.

Section 4: The uncodified law of Alaska of the State of Alaska is amended by adding a new section:

- Medicaid State Plan
 - If necessary, the department will submit a state plan amendment for approval by the United States Department of Health and Human Services

Section 5: The uncodified law of the State of Alaska is amended by adding a new section:

- Conditional Effect Notification
 - Section 2 would take effect on or before January 1, 2027, if a state plan amendment is approved or is deemed not necessary.
 - The commissioner must notify the revisor of statutes if a state plan amendment takes effect or if it is deemed not necessary.

Section 6: Section 2 effective date

- Section 2 takes effect the date after a state plan amendment is approved or deemed not necessary

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Section 7: Effective date

- Except as provided in section 7, this act takes effect July 1, 2027.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

SB154: HOME CARE EMPLOYMENT STANDARDS ADV BOARD by Senator Yundt

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

In Support:

- SEIU 775 and personal care/direct support professionals are in support of the bill.
- Alexis Rodich, Director of SEIU 775, Alaska Caregivers Union, invited testimony 4/15/26 and 5/12/26, in support of bill
- David Sutton, Caregiver with Consumer Direct, public testimony 4/15/26, in support of bill
- Theresa Heitman, Caregiver, Caregivers Union, public testimony 4/15/26, in support of bill
- Abigail Takak, Caregiver, public testimony 4/15/26, in support of bill

In Opposition:

- Personal care agencies have reservations and oppose the bill.
- Jenny Kimball, Executive Director, Alaska Association for Personal Care Services, invited testimony 5/12/26, opposition to the bill
- Alaska Association on Developmental Disabilities

Bill Signing ceremony suggestions (if applicable)

Commissioner’s Signature: Heidi Hedberg **Date:** 5/18/2026

I have reviewed the above information and provided it to the Governor’s Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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